

HOUSE BILL 962

By Hawk

AN ACT to amend Tennessee Code Annotated, Title 39
and Title 43, Chapter 27, relative to hemp.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 43-27-202, is amended by deleting "As used in this part" and substituting "As used in this part and part 3 of this chapter".

SECTION 2. Tennessee Code Annotated, Title 43, Chapter 27, is amended by adding the following as a new part:

43-27-301.

The requirements of this part are in addition to all other requirements of this chapter, and must not be construed to prohibit or restrict the ability of the department to enforce this chapter.

43-27-302.

As used in this part:

(1) "Local government" means an incorporated city or town, county, or metropolitan government in this state; and

(2) "Retailer" means an establishment licensed pursuant to part 2 of this chapter that sells hemp-derived cannabinoid products (HDCPs) to consumers at retail.

43-27-303.

(a) A local government may create, by majority vote of its governing body, an HDCP board for purposes of permitting retailers of HDCPs within the jurisdiction of the local government.

(b) An HDCP board formed pursuant to subsection (a) may pass an ordinance or resolution:

(1) Requiring each retailer of HDCPs to obtain a permit from the board authorizing the sale of such products at each retail location of the retailer; and

(2) If the HDCP board requires a retailer to obtain a permit, regulating the sale of HDCPs within its jurisdiction to the extent that such regulation does not conflict with state law or the rules or regulations of the department.

(c) The annual fee for the permit is two hundred fifty dollars (\$250) per retail location, and must be renewed annually. The HDCP board shall prescribe the application form for the issuance and renewal of a permit.

(d) Upon request of an HDCP board, the department shall issue a notice of good standing to the board for the purposes of issuing or renewing a permit to a retailer under this section. Such notice may be requested and provided electronically.

43-27-304.

(a) The local law enforcement agency of a local government that has created an HDCP board may:

(1) Enforce this chapter and any ordinance or resolution of the local government regulating HDCPs;

(2) Enforce the rules and regulations of the department with respect to HDCP retailers under an agreement executed with the department that specifies the scope and manner of such enforcement; and

(3) Conduct random inspections of the premises of a retailer for purposes of enforcement within the normal business hours of a retailer.

(b) A retailer operating without a permit required under § 43-27-303, or that is in violation of this chapter or the rules or regulations of the department, is subject to one (1) or all of the following:

- (1) A civil penalty of one thousand dollars (\$1,000) per violation;
- (2) Revocation of the retailer's permit for a period of up to one (1) year; or
- (3) Ineligibility for permit renewal for up to one (1) year after the period of revocation under subdivision (b)(2) expires.

(c) The HDCP board shall notify the department of a violation of its rules and regulations by a retailer within thirty (30) days after discovery of the violation.

43-27-305.

Annual permit fees and civil penalties owed by a retailer under this part must be remitted to the office or individual identified in the ordinance of the local government as being responsible for the collection of such fees and penalties. Fees and penalties remitted under this section must be deposited into the general fund of the local government and accounted for separately, to be used for the enforcement of this part.

SECTION 3. This act takes effect July 1, 2025, the public welfare requiring it.